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Report Highlights:

Post forecasts Paraguay's soybean production at 11.1 million metric tons (MMT) in MY2026/27, down from the previous year's record as yields normalize, while planted area remains largely unchanged at 3.5 million hectares (MHA), illustrating the limited expansion potential. Exports are projected to decline to 7.3 MMT on lower production and more typical demand from Argentina, which will continue to dominate trade flows, while crush is expected to ease to 3.6 MMT as margins soften. Paraguay's soybean industry remains highly export-oriented. Soymeal production and exports are forecast slightly lower, though longer-term demand growth is expected from Paraguay's expanding, export-driven pork sector. Soybean oil output is also projected to decline modestly to 685,000 MT, with exports of 600,000 MT far outweighing domestic consumption.

Oilseeds

SOYBEANS

Production

Post forecasts Paraguayan soybean production at 11.1 million metric tons (MMT) in MY2026/27, down 1 MMT as yields return to normal coming off a record year of production.

Total planted area is forecast only to shrink slightly, by 100,000 hectares (HA), with slightly more acreage shifting to corn next year. Post projects a total planted soybean area of 3.5 million hectares (MHA). This includes 2.9 MHA of the zafra soybeans with a 600,000 HA zafriña crop.

Most Post industry contacts report that total soybean planted area in MY2026/27 is expected to remain largely unchanged from the previous marketing year. However, yields are projected to decline from the current season's records, as an anticipated El Niño weather pattern typically results in less favorable growing conditions in Paraguay and lower yields. Rainfall during January will be a critical factor in final production outcomes, as it will influence both yield potential and the extent of zafriña soybean planting. The timing and volume of precipitation during this period will ultimately shape the size of the zafriña crop and the total soybean output for the marketing year.

Zafra and Zafriña Soy Planted Side by Side in Paraguay



Source: FAS Buenos Aires

Paraguay produces two soybean crops per year. The primary “zafra” crop, planted between late August and mid-November and harvested from late December through mid-March, and the second “zafriña” crop, typically planted in late January to mid-February and harvested from mid-May through July. The zafra crop remains the country’s principal soy crop, accounting for the vast majority of national production. The zafriña crop, while smaller in both area and yield, continues to add around an additional 10 percent to the country’s total production each year.

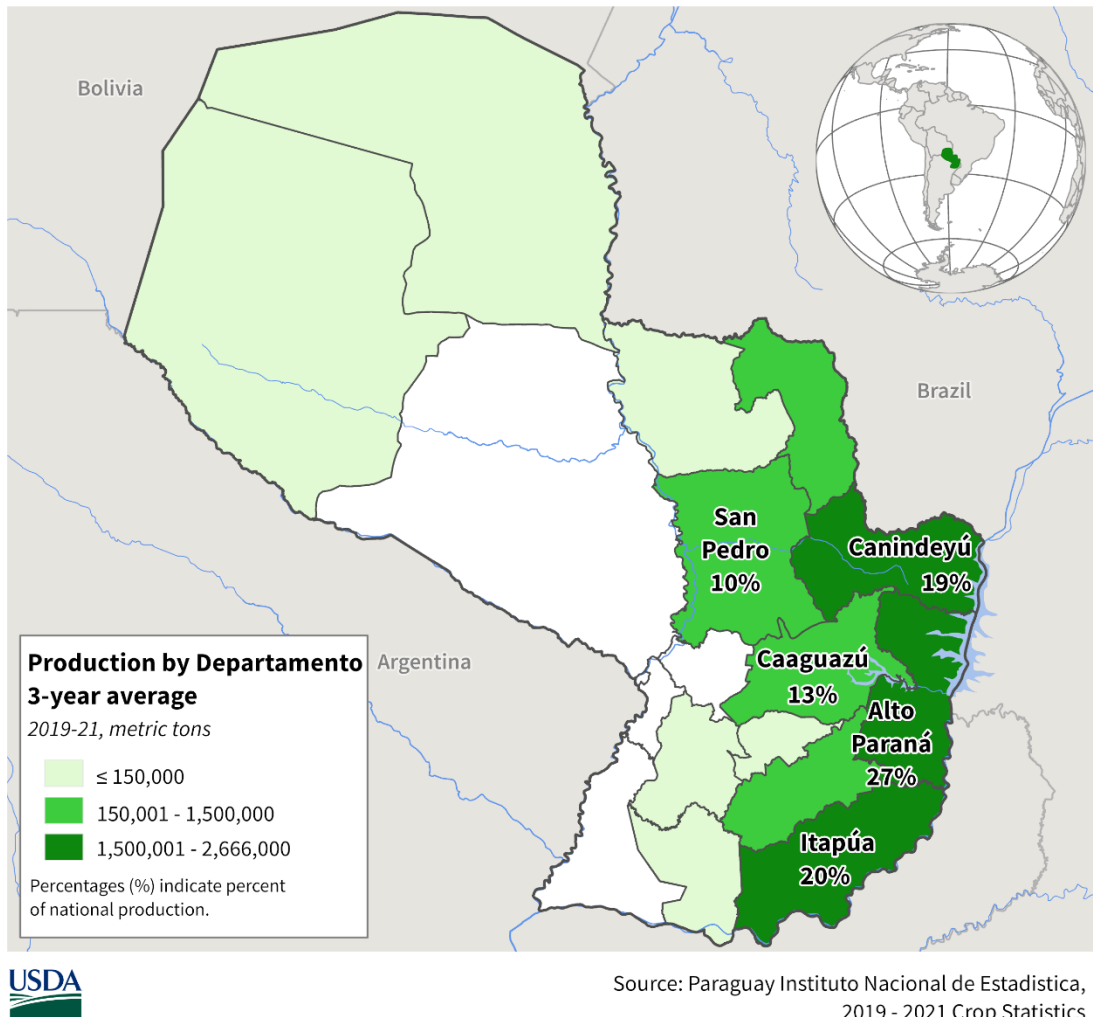
In MY2026/27, Post forecasts zafra soybean area at approximately 2.9 million hectares (MHA), with an additional 600,000 hectares planted in the zafriña season. Total planted area is projected to decrease only slightly compared to the previous, with the lost acreage switching to corn as a normal crop rotation. While some analysts speculate Paraguay could eventually add 100,000 hectares over the next decade, mostly in small annual increments of 10,000 HA or less, Post believes the country’s true expansion potential remains limited. Most of the eastern and northern soybean-producing regions have already been developed, and new acreage would likely come from marginal lands.

Post projects MY2026/27 zafra production at 10.15 MMT, with yields averaging 3.5 tons per hectare, down significantly from the previous year but still on trend with more typical weather forecast. Zafriña production is projected at approximately 950,000 MT. The tighter planting window for the second crop, driven by warming weather and shortened growing seasons in recent years, also limits potential expansion in zafriña soybeans, as more producers shift to corn for the second crop.

Production costs in Paraguay continue to rise and are expected to be even steeper in MY2026/27, reaching over \$600 per hectare for legal seed, fertilizers, crop protection, and operational inputs. Compared to neighboring countries, Paraguayan producers often apply more insecticides and herbicides due to higher pest pressure. Additionally, the country’s acidic soils require regular applications of calcium to improve pH levels and nutrient uptake. These factors contribute to higher input costs and make profitability highly sensitive to global soybean prices. Compounding the challenge is the lack of access to affordable credit for many farmers. While some larger operations are profitable, many small and medium-sized producers remain burdened by debt and high financing costs.

Opportunities for further soybean area expansion in Paraguay remain limited. In the Eastern Region, the agricultural frontier is largely saturated, with little available land for meaningful expansion and some marginal areas already being abandoned due to agronomic and economic constraints. This includes the major production departments of Itapúa, Alto Paraná, Canindeyú, and Caaguazú. Moreover, land availability and pricing dynamics present an additional constraint: contacts report that affordable land is typically of lower quality with poor yield potential, while highly productive land is prohibitively expensive, effectively limiting new entrants and large-scale area expansion. As a result, industry sources suggest that, at most, incremental gains of up to 50,000 hectares could be realized over the medium term, though even this appears optimistic.

Paraguay: Soybean Production



Despite this potential, while the Chaco region presents theoretical expansion potential with its vast untapped and uninhabited area, significant structural constraints including inadequate infrastructure, high logistical costs, and highly variable weather continue to limit row crop development. Some industry estimates suggest that soybean area in the Chaco could expand by up to 300,000 hectares over the next decade, but only under a sustained period of high prices and substantial investment in roads, energy, and production systems. Even under such a scenario, investment in the region is expected to remain primarily focused on livestock production, particularly beef, given its greater resilience to climatic variability relative to cropping systems and the high beef and cattle prices producers continue to enjoy.

Other oilseeds remain limited in scale. Canola, once planted in small volumes, is expected to decline further and may nearly disappear entirely from crop rotations. Peanuts are gaining ground, particularly among Mennonite producers who have begun developing local processing capacity. While data is scarce, peanut yields appear favorable, and if prices remain competitive relative to soy, further expansion is possible. However, aflatoxin contamination remains a major challenge, particularly for exports to the

European Union, limiting Paraguay's ability to grow its peanut trade but more are being processed for snacks for the domestic market.

Zafrina Soybeans in Alto Parana Department



Source: FAS Buenos Aires

MY2025/26

Post revises MY2025/26 soybean production upward to 12.1 MMT, an 11 percent increase from the previous estimate, driven by favorable weather conditions and strong reported yields. This higher production is achieved with no change to area, as Post maintains its soybean planted area estimate at 3.6 million hectares. Post estimates 30.05 MHA of zafra and 550,000 HA zafriña crop.

Favorable weather conditions and strong crop performance are supporting expectations for record soybean yields in MY2025/26, with some early-harvest reports indicating yields as high as 6 MT/HA in top-performing areas. This is based on consistent rains throughout the entire growing season without the extended drought periods seen the last two seasons during critical growth stages paired with many days of full sunshine. Post estimates zafra yields at 3.8 MT/HA and zafriña slightly lower than average at 1.8 MT/HA, though some areas have seen record zafriña yields close to what's normally expected for zafra at over 3 MT/HA. However, contacts caution that these results are not representative of the entire crop, as later-harvested fields are expected to post more moderate yields, ultimately lowering the national average. While area estimates for the zafriña crop remain uncertain, most contacts do not expect plantings to reach the higher end of initial projections, though a modest increase toward 600,000 hectares remains possible pending further field assessments in the coming weeks.

The Zafra soybean harvest was completed by the last week of March, a bit later than usual with the Zafriña planting completed by the 3rd week of March. From early April additional rains will not affect final yields as yields were already finalized before the rains began. Some early zafriña soy is expected to yield as high as 3.0 MT/HA but the overall yields will be much lower, closer to an average of 1.8 MT/HA, still well above the average.

Zafrina Soybeans Being Planted in Mid-March, Alto Parna Department



Source: FAS Buenos Aires

Consumption

Post anticipates MY2026/27 soybeans will return to a more typical production volume, with solid but lower output, assuming normal weather conditions. As a result, both crush and exports are forecast to decline slightly from current elevated levels.

Paraguay's crush is forecast at 3.6 MMT, down 100,000 MT from the highs projected for the previous two year. Paraguay's total crush capacity is estimated at 4.7 MMT including the addition of a new crush facility expected to be fully operational in MY2026/27.

Domestic soybean crush increased by 29 percent in 2025 compared to 2024, with increased availability of soybeans to crush and higher crush margins. For MY2025/26, crush is expected to remain high once again, though less than the anticipated gains in production. This slightly lower crush is partially due to a return to more typical production conditions and harvest in neighboring Argentina, which in previous year has taken more of Paraguay's available supply to supplement its lower production and keep crush plants operational.

Argentina's large and efficient crush industry will continue to play the key role in determining Paraguay's volumes as the dominant buyer of Paraguayan soybeans. While Argentina exported a much larger share of its soybeans whole to China last year which drove increased demand for Paraguayan soybeans for Argentina's crush industry, this was considered a one-off event driven by the temporary export tax elimination and not expected to repeat in MY2026/27.

Crush margins in Paraguay remain high, supporting strong crush levels in the current marketing year as crushers seek to capitalize on favorable returns. As a result, crush volumes are expected to remain high in MY2025/26. However, for MY2026/27, Post expects margins to soften, consistent with historical patterns in which periods of elevated profitability are typically followed by normalization.

A new crush plant in the Chaco began operations after several years of delay and will reach close to its normal crush capacity in the MY2026/27 year. The plant will have a capacity of 1,000 MT per day and will also buy oil from other plants to refine and resell or export. It is primarily intended to produce soymeal for local dairy herds, though surplus oil is expected to be available for export. However, infrastructure limitations, particularly electricity supply, pose challenges to its ability to reach full potential. While much of the output will be consumed internally within the local Mennonite colonies, some excess production will likely be exported. The plant was inaugurated last September and did some crushing last year, but it will be expected to be totally online and crushing this year, bringing Paraguay's total crush capacity up to 4.7 MMT.

Post industry resources do not see any growth in crush capacity or investments in the near term. The industry has asked for tax relief from the government, including many major players, but so far, the government has not shown policy support for these changes.

Domestic Consumption

Domestic consumption of soybeans in Paraguay remains negligible and is largely limited to seed use which those in the industry estimate at 150,000 to 200,000 MT annually. There is no meaningful direct food or feed demand for whole soybeans, as the country's oilseed sector is overwhelmingly export-oriented. The bulk of Paraguay's soybeans are either exported or crushed for meal and oil bound for international markets. High feed costs continue to constrain the use of commercially formulated rations, particularly among smaller producers, who often substitute with lower-cost, locally available feed ingredients.

Pork production is forecast to continue expanding through 2029, driven almost entirely by export demand. While approximately 32 percent of the population resides in rural areas, much of the domestic consumption of pork, poultry, and eggs is supplied through small-scale, on-farm production for household use, that never leaves the area, limiting the growth potential of the formal domestic market. As a result, new investments in the pork sector are primarily export-focused, with the domestic market viewed as largely saturated and offering limited opportunity for commercial expansion.

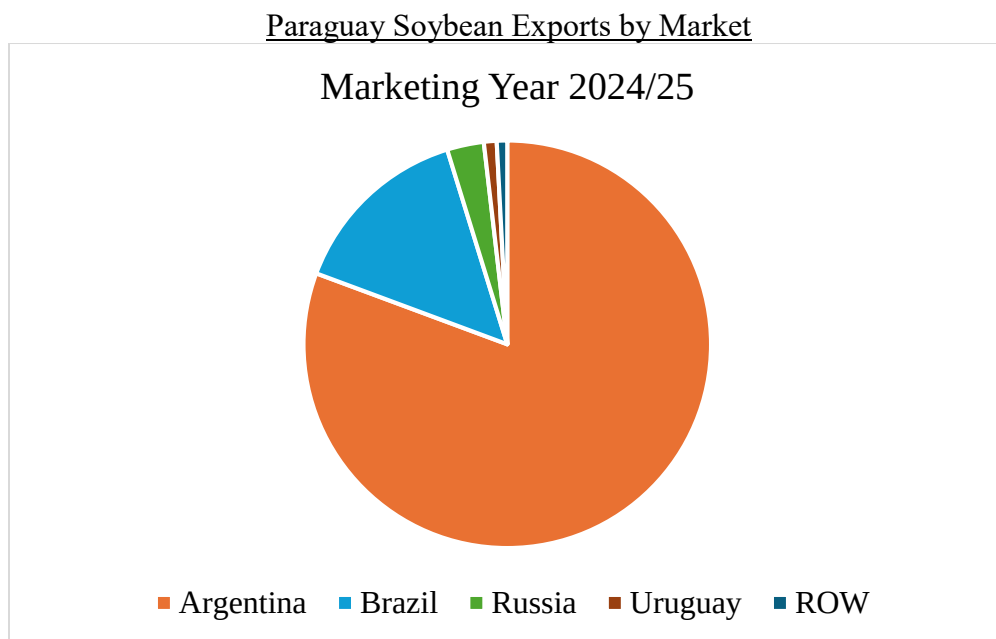
Paraguay's biofuels sector, while often pointed to as an area for potential future growth, has yet to achieve any meaningful development. The Omega Green biodiesel facility, long touted as a transformative project, is still under construction in Puerto Santa Rosa (Villeta) and unlikely to become reality in the near future.

Trade

Post forecasts Paraguay's soybean exports at 7.3 MMT, down 1 MMT from the year before due to decreased production and normalizing production and crush in Argentina. Of these exports, 75 to 85 percent will go to Argentina which typically consumes the bulk of Paraguay's soybean production to feed its massive crush industry.

Contacts expect approximately 15 percent of exports are expected to go to Brazil to be crushed and fed to the local poultry industry just over the border. While a new cross-border bridge to Brazil over the Paraná has been completed, it is not yet fully operational for commercial traffic. Currently, it is limited to use for returning empty trucks to Paraguay, constraining its immediate impact on trade flows. Industry

contacts expect the bridge to become fully operational at some point during MY2026/27, which could improve logistics and meaningfully increase soybean exports to Brazil.



Source: FAS Buenos Aires with Trade Data Monitor, Inc

The remaining 5 to 10 percent of Paraguay’s soybean exports will be exported to third markets via Argentina or Uruguay, where it is shipped onward as whole soybeans to a wide range of global markets with no single dominant destination. Industry contacts note that international traders without local crushing plants in the region, such as some Russian firms, may source Paraguayan soybeans for export to third-country markets for crush and then later export the meal to their home market.

In the past, Paraguay had some market in Russia, but those exports dried up when Russia invaded Ukraine. Its soybean exports have also been kept out of the EU due to some crop protection products used in Paraguayan soybean production not allowed for whole soybean imports to the EU but are allowed for resulting processed meal and oil. That said, if implemented, the EU Deforestation Regulation (EUDR) could impact Paraguay’s soybean and soy product exports. However, Paraguay has been developing a national compliance framework, and Post contacts report the country is relatively well-positioned to meet EUDR requirements for soybeans, soybean meal, and soybean oil, once the regulation enters into force.

Zafra and Zafriña Soybeans in Alto Parana Department Mid-March



Source: FAS Buenos Aires

Stocks

Stocks are generally vary little from year to year in Paraguay. Most stocks in Paraguay are held by crushers who always need to keep some stocks on hand to keep their plants operating.

Paraguay traditionally maintains minimal soybean, meal, or oil stocks due to both infrastructure and climatic constraints. Most producers and processors operate with limited on-farm or commercial storage capacity, a result of the country's underdeveloped storage infrastructure and the high costs associated with building and maintaining silos in a tropical environment. Additionally, Paraguay's hot and humid climate significantly reduces the shelf life of raw soybeans and soybean meal, discouraging long-term storage. As a result, the country's oilseed supply chain operates on a just-in-time basis, with producers preferring to sell shortly after harvest, either directly to exporters or to Argentina for processing.

Improved storage infrastructure would enable greater control over marketing, reduce post-harvest losses, and strengthen the domestic crush industry by ensuring consistent year-round supply availability. Nonetheless, unless storage challenges related to climate and costs are addressed, stock levels are expected to remain low, and most soybeans will continue to be sold or crushed shortly after harvest.

Oilseed, Soybean Market Year Begins Paraguay	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	3850	3850	3950	3600	0	3500
Area Harvested (1000 HA)	3750	3750	3800	3600	0	3500
Beginning Stocks (1000 MT)	286	286	285	285	0	189
Production (1000 MT)	10200	10200	11500	12100	0	11100
MY Imports (1000 MT)	4	4	20	4	0	4
Total Supply (1000 MT)	10490	10490	11805	12389	0	11293
MY Exports (1000 MT)	6405	6405	7700	8300	0	7300
Crush (1000 MT)	3700	3700	3600	3700	0	3600
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	100	100	125	200	0	200
Total Dom. Cons. (1000 MT)	3800	3800	3725	3900	0	3800
Ending Stocks (1000 MT)	285	285	380	189	0	193
Total Distribution (1000 MT)	10490	10490	11805	12389	0	11293
Yield (MT/HA)	2.72	2.72	3.0263	3.3611	0	3.1714
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Meals

Post forecasts slightly lower soybean production of 2.7 MMT in MY2026/27 on lower crush. As soybean production returns to normal with solid but lower output, assuming normal weather conditions, meal production is also forecast to decline from the current elevated levels and be more in line with historical averages.

Paraguay will continue to prioritize whole bean shipments driven by Argentina's demand, limiting meal growth in the near future. Domestic meal consumption is expected to remain minimal but with a growth of 50,000 MT in MY2026/27 from the year before.

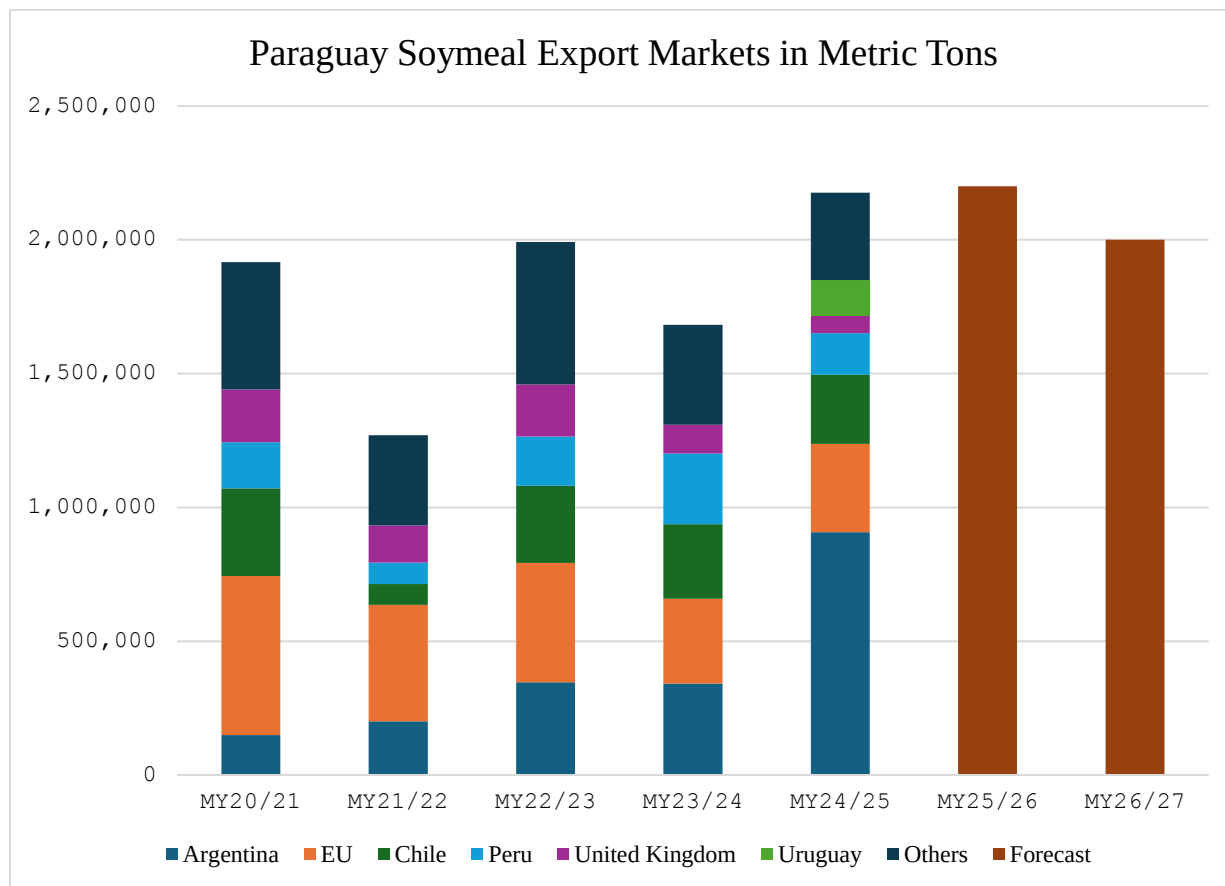
Soymeal consumption is largely confined to the country's very small poultry, swine, and dairy sectors. Post contacts estimate Paraguay's soymeal consumption at around 150,000, which includes the poultry, egg, pork, and dairy industries as well as a few feedlots.

Post expects gradual growth in domestic soymeal demand, primarily from expansion in Paraguay's livestock industry. Pork production presents real growth potential in the next several years, driven by export-oriented expansion following Paraguay's market access to Taiwan. Robust Taiwanese import demand is expected to lead to increased hog production and, in turn, higher domestic soymeal consumption.

Industry contacts report major new investment in the pork sector including anticipated capital inflows from a European firm focused on expanding production and processing capacity in southern Paraguay. Although Paraguay's pork industry remains in its infancy, Post assesses that the opening of the

Taiwanese market represents a real opportunity that could support significant growth in both production and more domestic feed use in the long term.

By comparison, the poultry sector is expected to expand more slowly, as production continues to increase only modestly. It remains largely oriented toward the domestic market and therefore offers limited growth potential for feed demand. Limited access to major export markets continues to constrain the sector, reducing incentives for investment or scale-up. As a result, poultry is likely to remain a secondary driver of soymeal demand relative to pork in the near to medium term.



Source: FAS Buenos Aires with Trade Data Monitor, Inc Data and Post Forecasts

Paraguay's crush industry will continue to rely heavily on exports of both soymeal and oil. The EU is expected to return to Paraguay's top market for soymeal with Chile coming in second. Argentina will continue to be a top market but less so than recent years as Argentine production and crush stabilize after the drought year. Exports to China remain non-existent both due to China's preference to import whole beans and reportedly, Paraguay's continued recognition of Taiwan.

Meal, Soybean Market Year Begins Paraguay	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	3700	3700	3600	3700	0	3600
Extr. Rate, 999.9999 (PERCENT)	0.7573	0.7573	0.7572	0.7573	0	0.7583
Beginning Stocks (1000 MT)	208	208	194	194	0	96
Production (1000 MT)	2802	2802	2726	2802	0	2730
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	3010	3010	2920	2996	0	2976
MY Exports (1000 MT)	2176	2176	2000	2200	0	2000
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	640	640	670	700	0	750
Total Dom. Cons. (1000 MT)	640	640	670	700	0	750
Ending Stocks (1000 MT)	194	194	250	96	0	76
Total Distribution (1000 MT)	3010	3010	2920	2996	0	2976
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

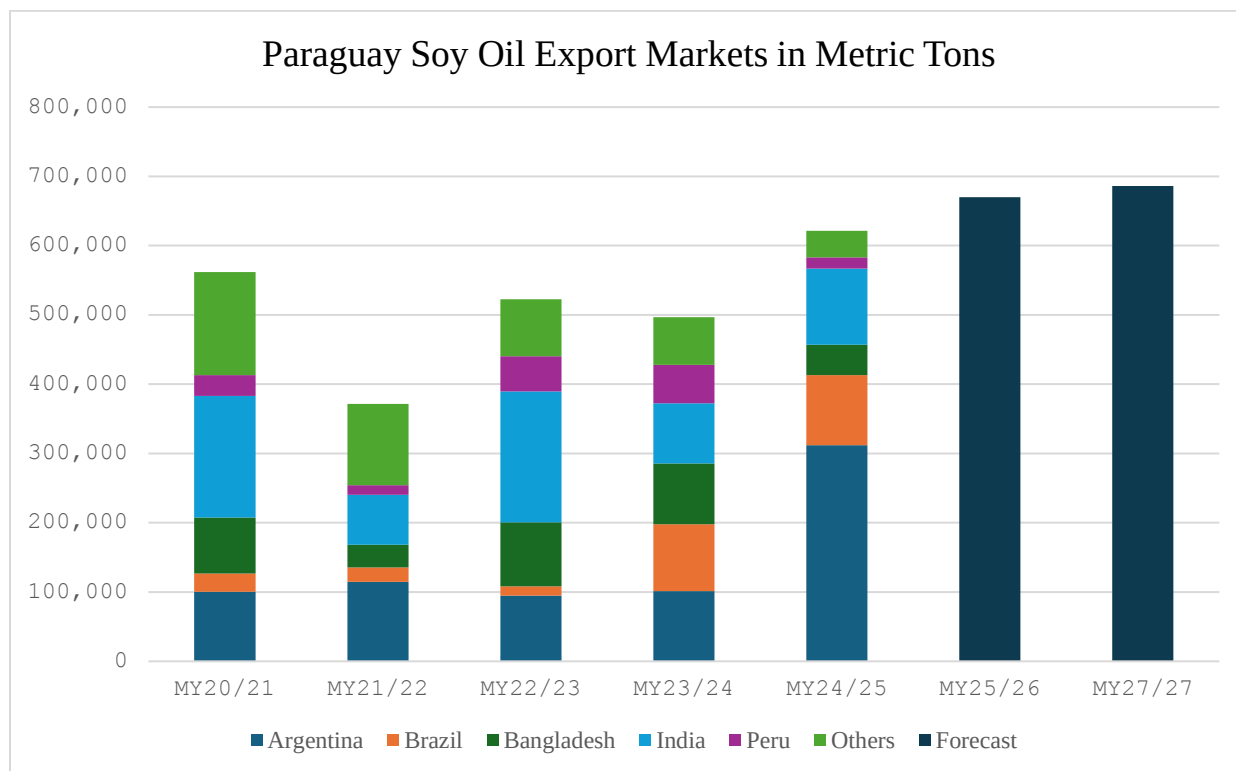
Oils

Post forecasts soy oil production to see a modest reduction to 685,000 MT on decreased crush. Paraguay's soy oil production remains small with its limited domestic demand and smaller crush industry than production.

Likewise, domestic soybean oil consumption remains limited. Post forecasts soybean oil exports at 600,000 MT, with domestic consumption estimated at 100,000 MT. Paraguay's per capita vegetable oil consumption remains relatively low, as a significant share of the population resides in rural areas where traditional diets rely heavily on animal fats, particularly lard, rather than vegetable oils.

Despite growing interest in renewable energy, including biodiesel, Paraguay currently lacks a large-scale domestic biodiesel mandate or refining infrastructure, limiting domestic soy oil consumption.

While expansion in the biodiesel industry could expand consumption, this is not expected to happen anytime in the near future. The Paraguay biodiesel blend mandate currently sits at 5 percent but is poorly enforced and the effective blend rate is likely significantly lower. Firm policy support and significant investment in large scale biodiesel plants would be needed to change demand in the industry. A single large biodiesel plant capable of switching between fatty acid methyl esters (FAME) and vegetable oil currently operates with an estimated capacity of 60 to 70 million liters, but its contribution to overall oil demand is minimal. Paraguay is expected to continue exporting soybean oil to Brazil, while exporting little to no biodiesel. The imported oil is used by Brazil's expanding biofuel sector as feedstock for biodiesel production.



Source: FAS Buenos Aires with Trade Data Monitor, Inc. Data and Post Forecasts

In trade, Argentina will once again be Paraguay's top destination for soy oil exports. Traders in the industry expect India and Bangladesh to buy more soy oil from Paraguay in MY2025/26, as they report increased interest from these buyers.

Oil, Soybean Market Year Begins Paraguay	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	3700	3700	3600	3700	0	3600
Extr. Rate, 999.9999 (PERCENT)	0.19	0.19	0.19	0.1905	0	0.1903
Beginning Stocks (1000 MT)	81	81	91	91	0	67
Production (1000 MT)	703	703	684	705	0	685
MY Imports (1000 MT)	3	3	1	1	0	1
Total Supply (1000 MT)	787	787	776	797	0	753
MY Exports (1000 MT)	621	621	600	670	0	685
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	75	75	85	60	0	60
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	75	75	85	60	0	60
Ending Stocks (1000 MT)	91	91	91	67	0	8
Total Distribution (1000 MT)	787	787	776	797	0	753
(1000 MT) ,(PERCENT)						

Attachments:

No Attachments